BERNSTEIN
SOCIETE GENERALE GROUP

22 October 2026

Global Luxury Goods

Hermes International

Rating

Outperform

Price Target

RMS.FP **1,480.00 EUR** (1,750.00 *OLD*)


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Hermès: Highlights from the 3Q26 conference call

Hermès reported 3Q26 results earlier today (see Hermès 3Q26 is short by c.90bps)

Hermès is facing a soft patch in brand momentum. Together with weak consumer sentiment in China, the war in the Middle East, and a resurgent Chanel, persistently weak performance at 'volume' metiers such as fashion accessories, shoes and silk points to weak aspirational demand for Hermès' products. We expect investors to look past any sequential improvement in growth in 4Q26E, which will be driven by better leather goods supply and management commentary around ex-China in-quarter trends across 3Q26A.

Hermès has started to adjust. The company is tweaking the online presentation of its products to better reflect actual inventories. It is centralizing VIC CRM activities on a global basis. It is seeking to develop a 'value strategy' in shoes and mens RTW (likely spearheaded by Grace Wales Bonner). The focus of this, however, seems to be on regaining traction with the aspirational (Chinese) consumers who have pulled back.

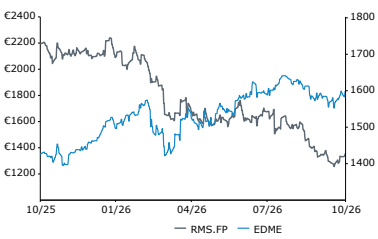
Stretching upwards in leather goods would be a compelling opportunity. Hermès possesses category authority in leather goods. High-end consumers have proven resilient in a world marked by consumer polarization. But one needs to innovate and excite in order to sell more to a smaller base of extremely rich consumers, many who may already have multiple Birkins and Kellys. We would welcome new models, priced above these classics. Success would settle worries about production capacity utilization, and could ignite a brand halo that extends to other categories and price points (see Hermès: Stretching upwards). In a slower and more static market, innovation must accelerate.

Close Date	21 Oct 2026
RMS.FP Close Price (EUR)	1,356.50
Price Target (EUR)	1,480.00
Upside/(Downside)	9%
52-Week Range	2,300.00/1,234.00
EDME	1,597.37
FYE	Dec
Div Yield	1.4%
Market Cap (EUR) (M)	134,548
EV (EUR) (M)	124,525

Performance	YTD	1M	6M	12M
Absolute (%)	(39.9)	(5.9)	(22.5)	(42.0)
EDME (%)	8.6	0.3	5.2	12.4
Relative (%)	(48.6)	(6.2)	(27.7)	(54.5)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We trim our forecasts to reflect ongoing pressure in the volume metiers and in Greater China. We believe underlying headwinds will linger through FY27E, with some self-help taking effect in 2H27E. Our EPS forecasts fall by -1% and -1.5% in FY26/7E, leaving us -1.8% and -3.8% below consensus. Hermès' valuation is suffering a death by a thousand cuts. Expectations could well moderate for FY27E. A firm and final reset would help staunch the bleeding. We now value Hermès on a 2.3x target relative P/E multiple to the MSCI Europe (down from 2.6x previously, and equivalent to a 28.5x NTM+1 P/E multiple, where Hermès currently trades on an NTM basis). A lower valuation drives our PT to €1,480. We maintain our Outperform rating in the prospect of significant self-help coming to fruition in FY27E.

Adjusted EPS	F25A	F26E	F27E
RMS.FP (EUR)	43.12	**43.32**	**46.35**
OLD	--	43.80	47.07

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	16,002	16,604	17,802	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	31.5	31.3	29.3

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

BUSINESS UPDATE

Near-Term Trading:

- October trends were unchanged versus the end of Q3 across all regions, including China; management saw no further deterioration in China versus August/September.
- In the US, trading returned to the level seen at the beginning of the year following some softness in August/early September; France also improved through September and early October after a softer August in Paris. The impact of current protests in France remains unclear.

2027 Pricing: Management expects pricing to be slightly below 2026, following the usual approach of reflecting higher raw-material and wage costs as well as FX. Management indicated hat at least +4-5% could be meaningful, but stressed that 2027 pricing has not yet been finalised.

FX: Currency movements represented a c.€310m negative impact on 9M26 revenue. Management said 2026 exposure was fully hedged, while 2027 hedging remains incomplete and management therefore remains conservative on next year's FX impact.

Scope Effect: Management continues to see a normal c.+1-1.5% scope contribution, with no larger effect expected in 2027 given the absence of major openings comparable with Bond Street and Geneva in 2026.

COMMENTARY BY DIVISION

LEATHER GOODS & SADDLERY (+10.8% CFX Q3; +10.2% CFX 9M)

- Strong demand across all regions, with management stating that all leather goods prduced are being sold and desirability remains very strong across Kelly, Birkin and other bags.
- Q3 acceleration reflected the level of deliveries and continued strong product desirability, with management confirming c. +6% production-capacity growth for 2026.
- Collections were enriched by the **Double Longe, Besace Attelée** and **Bride de Jour models**, alongside continued strong demand for iconic products.
- Continued investment in production capacity:
  - **Loupes (Gironde):** 25th leather workshop inaugurated in April 2026.
  - **Charleville-Mézières:** planned for 2027.
  - **Colombelles:** planned for 2028.
  - **Les Andelys:** planned by 2030.

RTW & ACCESSORIES (-2.0% CFX Q3; +0.6% CFX 9M)

- Q3 performance did not reflect the positive underlying trend, with the slowdown mainly attributable to Greater China. Excluding China, RTW & Accessories was growing, while RTW itself remained positive on a consolidated basis.
- Collection sell-through remained very high, with a number of stores having to reorder and replenish stock as both collections sold well.
- All regions grew in RTW except China, where the more volume-oriented categories, particularly fashion accessories and shoes, were more affected by the slowdown.

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- Key upcoming initiatives include:
  - The first men's collection by **Grace Wales Bonner**.
  - The introduction of **Haute Couture**, which management expects to have a halo effect on RTW, particularly women's RTW.
  - Continued development of the value strategy in footwear, including new models.

SILK & TEXTILES (+1.4% CFX Q3; +7.0% CFX 9M)

- Solid 9M performance supported by the richness of both women's and men's collections, although growth moderated in Q3.
- Recent creations included the **Chevaux d'Héphaïstos** and **La Nature en Voyage** scarves, bringing a modern interpretation to the carré.

OTHER HERMÈS SECTORS – JEWELLERY & HOME (-1.1% CFX IN 3Q26 / +3.3% CFX IN 9M26)

- Jewellery performance was impacted by the slowdown in Greater China, particularly across intermediate products, compounded by a demanding comparison base. Management described the weakness as a momentary dip and remains confident in the category.
- The ninth Haute Bijouterie collection, **Into the Horsescape**, was unveiled in Paris in July and presented in Shanghai in September, with New York planned for November.
- Continued investment in Jewellery through:
  - Further vertical integration and production-capacity expansion, particularly in Fine Jewellery.
  - Larger dedicated spaces within stores to better showcase the Jewellery and Fine Jewellery offer.

PERFUMES & BEAUTY (+7.5% CFX Q3; -0.7% CFX 9M)

- Performance improved materially in Q3, with revenue in value broadly stable across Q1, Q2 and Q3, despite Q1 benefiting from Chinese New Year.
- Beauty performed strongly, supported by new launches, whiles Perfumes benefited from several introductions including **Barénia Pleine Fleur** and new Hermessence fragrances.
- Hermès' own retail network remained dynamic, particularly for **Hermessence**, while external distribution was softer as distributors sought to reduce inventories.
- Distribution strategy remains focused on increasing dedicated spaces within the directly operated network to better showcase the expanding offer, with **skincare planned for 2028**.

WATCHES (-6.0% CFX Q3; -1.9% CFX 9M)

- Watches remained impacted by the slowdown in Greater China, with management identifying the category among the more volume-oriented métiers affected by weaker footfall.
- The offer continued to expand with the successful launch of the **H08 Squelette**, featuring the latest-generation titanium movement.

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- Production investment continues, with the **Le Noirmont watchmaking site in Switzerland** planned to be expanded by 2028.

OTHER PRODUCTS (+10.5% CFX Q3; +5.4% CFX 9M)

COMMENTARY BY GEOGRAPHY

FRANCE (+3.6% CFX Q3; +2.4% CFX 9M)

- Solid performance from seaside stores, particularly Monaco and Cannes, while Paris was softer over the summer.
- Paris footfall weakened during the summer, which management linked to the heatwave. August was particularly slow, followed by an improvement in September that continued into early October.
- Local French customers continued to grow, while European and American tourist spending remained dynamic.
- Middle Eastern customers returned towards the end of the summer, although spending remained below last year's level.
- Management said it was **too early to assess the impact of the recent disruptions in France** on stores or tourism, with no change in trends observed at the time of the call.

REST OF EUROPE (+9.5% CFX IN 3Q26 / +9.0% CFX IN 9M26)

- All countries grew, with +DD% growth in Italy, the UK, Spain, Turkey, Austria, Benelux, Portugal and Greece; Southern Europe remained particularly dynamic.
- **New Bond Street Maison** supported an acceleration in the UK in Q3, performing ahead of expectations and generating more sales than the location it replaced without impacting sales at other London stores.
- European customers remained the main clientele shopping in Europe, complemented by American and Middle Eastern tourists, with the latter supporting Italy and the UK towards the end of the summer.
- New **Geneva store** scheduled to open in early November.

JAPAN (+9.6% CFX Q3; +10.5% CFX 9M)

- Continued solid and steady momentum, driven by the loyalty of the local customer base.
- Store investments included:
  - Renovation and expansion of **Hilton Plaza East in Osaka** in May.
  - New **Nagoya** location opened in June.

ASIA EX-JAPAN (FLAT CFX Q3; +1.6% CFX 9M)

- Regional growth remained subdued, with solid performance in Korea and an acceleration in Singapore and Thailand in Q3.
- **Greater China** was stable over 9M26, after slight growth at the end of H1 and a modest slowdown during Q3.
- Weakness in China was primarily footfall-driven, rather than an average-basket issue:
  - More volume-oriented categories, particularly fashion accessories, watches and shoes, were the most impacted.
  - Lower traffic was partly offset by greater value from Leather Goods and Jewellery.

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- Management highlighted a difficult Chinese macro backdrop, including weak consumer confidence, high savings, pressure from real estate and some financial-market weakness.
- Hermès remains confident in China's medium-to-long-term potential, supported by a selective distribution network of **31 stores** and continued investment in store openings, renovations and expansions.

AMERICAS (+8.8% CFX Q3; +13.1% CFX 9M)

- Strong and broad-based performance across all countries and métiers, with balanced trends across the East Coast, West Coast, Mexico and Brazil.
- Growth since the beginning of the year reflected higher footfall, a higher average basket and improved conversion, with very little scope contribution.
- Q3 Moderation reflected a tougher comparison base (+14% in 3Q25° and some softness in August and early September; management said business subsequently returned to the level seen at the beginning of the year, with no change in trend at the time of the call.
- Q4 initiatives include:
  - **Manhasset** opening on 29 October.
  - **Craft in Time** event in Miami.
  - New Fine Jewellery collection presentation in New York in November.

OTHER / MIDDLE EAST (-4.5% CFX Q3; -4.3% CFX 9M)

- Performance remained resilient against a complex geopolitical backdrop, supported by local customers and the value strategy.
- Traffic declined c.25%, with part of the impact offset by higher value, particularly in Leather Goods and Jewellery.
- Performance was supported by directly operated retail, while the concession network in Qatar and Kuwait was somewhat weaker.
- Hermès continues to see strong long-term growth potential in the region, while noting that this depends on an improvement in the current environment.

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EXHIBIT 1: **Where We Stand - Organic Growth**

Company	Division	Bernstein - New		Consensus		New vs. Consensus	
		2026	2027	2026	2027	2026	2027
LVMH	**Group**	**1.9%**	**3.4%**	**1.8%**	**3.2%**	**10**	**19**
	Wines & Spirits	5.5%	3.5%	4.6%	3.4%	91	8
	Fashion & Leather Goods	-1.7%	1.5%	-2.0%	2.5%	29	-97
	Perfumes & Cosmetics	0.8%	3.8%	0.4%	3.0%	46	75
	Watches & Jewelry	6.6%	6.1%	6.9%	6.0%	-27	5
	Selective Retailing	6.0%	5.5%	6.0%	5.4%	1	16
Hermès	**Group**	**5.4%**	**6.3%**	**5.9%**	**6.8%**	**-51**	**-52**
	Leather Goods - Saddlery	10.5%	9.8%	10.3%	9.5%	20	26
	Ready-to-Wear & Acc.	0.2%	3.4%	1.8%	4.5%	-158	-109
	Silk and Textiles	5.4%	2.7%	7.5%	5.0%	-206	-232
	Other Hermès Sectors	2.3%	3.6%	5.2%	6.0%	-296	-240
	Perfumes	1.0%	4.0%	-4.9%	2.0%	598	204
	Watches	-1.4%	2.9%	0.0%	3.0%	-140	-14
	Other products	4.9%	3.0%	2.0%	3.8%	293	-84
Moncler	**Group**	**6.1%**	**7.6%**	**5.3%**	**5.5%**	**81**	**209**
	Moncler	5.9%	6.8%	5.3%	5.7%	64	109
	Stone Island	7.6%	8.8%	6.4%	6.1%	120	270
Essilor Luxottica	**Group**	**7.8%**	**7.1%**	**6.6%**	**7.1%**	**111**	**0**
	Professional Solutions	3.9%	4.2%	3.0%	7.0%	87	-282
	Direct to Consumer	11.3%	9.5%	10.6%	7.1%	68	240

Source: Visible Alpha, Company reports, Bernstein analysis and estimates

EXHIBIT 2: **Where We Stand - EBIT%**

Company	Division	Bernstein - New		Consensus		New vs. Consensus	
		2026	2027	2026	2027	2026	2027
Hermès	**Hermès Group**	**39.8%**	**39.5%**	**40.1%**	**40.2%**	-27	-67
	France	43.6%	44.0%	45.1%	44.8%	-147	-77
	Rest of Europe	34.0%	34.0%	34.4%	34.4%	-46	-42
	Japan	40.0%	40.5%	39.9%	39.3%	11	122
	Rest of Asia	39.7%	39.5%	39.6%	40.1%	10	-60
	Americas	36.3%	37.0%	35.7%	35.7%	57	126
	Other	39.4%	40.0%	38.5%	37.5%	94	250
LVMH	**LVMH Group**	**21.4%**	**21.7%**	**21.6%**	**22.0%**	-20	-23
	Wines & Spirits	19.0%	21.0%	19.5%	20.3%	-49	73
	Fashion & Leather Goods	34.0%	34.0%	34.0%	34.2%	-1	-20
	Perfumes & Cosmetics	8.8%	9.5%	9.1%	9.3%	-30	21
	Watches & Jewelry	15.0%	16.0%	15.2%	16.0%	-23	3
	Selective Retailing	10.0%	10.3%	10.2%	10.6%	-21	-28
Moncler	**Moncler Group**	**29.5%**	**29.9%**	**29.1%**	**29.4%**	42	43
EssilorLuxottica	**EssilorLuxottica Group**	**16.6%**	**16.8%**	**16.1%**	**16.0%**	51	72

Source: Company reports, Visible Alpha, Bernstein analysis and estimates

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EXHIBIT 3: **Where We Stand**

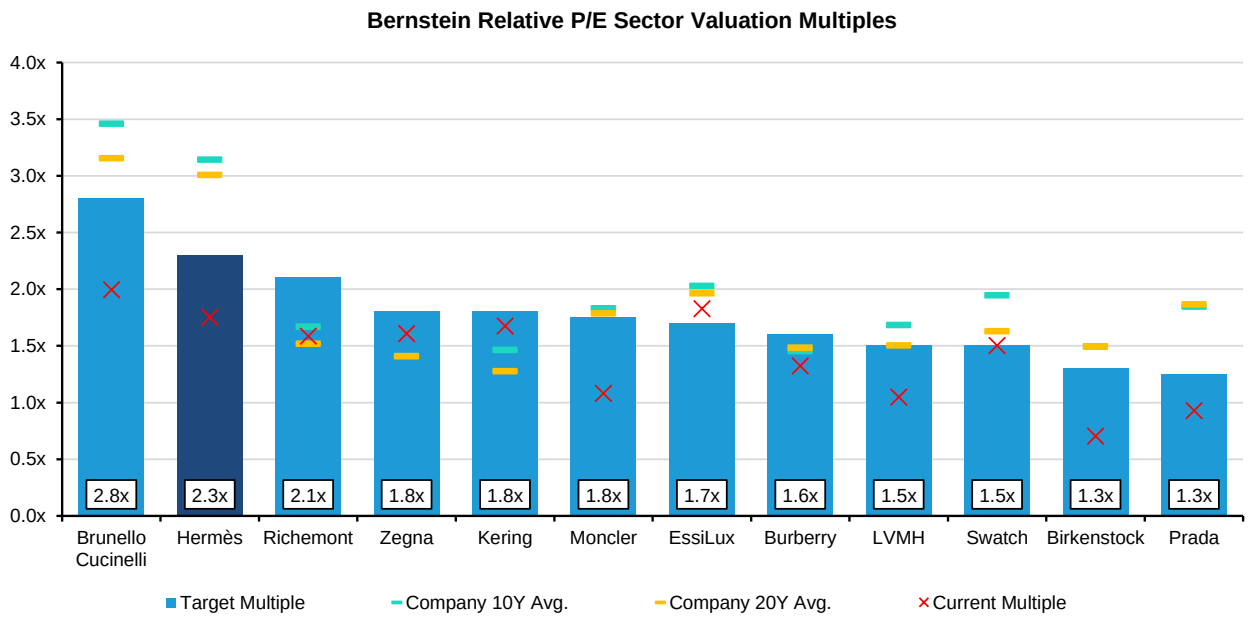
WHERE WE STAND								
(In reporting currency, in millions)	**Revenue - Bernstein View**			**YoY Change - Bernstein (%)**			**vs. Consensus (%)**	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	80,807	80,479	82,840	-5%	0%	3%	0%	-1%
Kering	14,675	14,548	15,407	-15%	-1%	6%	0%	-1%
Hermes International	16,002	16,604	17,802	5%	4%	7%	0%	-1%
Essilorluxottica	28,491	30,392	32,544	7%	7%	7%	1%	0%
Cie Financiere Richemont	22,420	25,535	28,106	5%	14%	10%	1%	4%
Swatch Group	6,280	6,544	6,778	-7%	4%	4%	0%	-2%
Moncler Spa	3,132	3,264	3,495	1%	4%	7%	1%	2%
Burberry Group Plc	2,420	2,555	2,716	-2%	6%	6%	1%	2%
Brunello Cucinelli	1,408	1,537	1,748	10%	9%	14%	-1%	1%
Ermenegildo Zegna	1,917	2,039	2,244	-2%	6%	10%	0%	1%
	Org. Growth - Bernstein View			**YoY Change - Bernstein (%)**			**vs. Consensus (bps)**	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	-1.0%	1.9%	3.4%				(4)	(12)
Kering	-10.0%	1.2%	5.7%				14	(80)
Hermes International	8.9%	5.4%	6.3%				(59)	(49)
Essilorluxottica	11.2%	7.8%	7.1%				111	-
Cie Financiere Richemont	11.0%	14.8%	10.1%				291	273
Swatch Group	-1.3%	8.2%	3.6%				387	(130)
Moncler Spa	3.1%	6.1%	7.6%				81	209
Burberry Group Plc	0.1%	4.8%	6.3%				82	60
Brunello Cucinelli	11.5%	12.0%	11.1%				(46)	82
Ermenegildo Zegna	1.1%	8.6%	8.0%				78	55
	EBIT - Bernstein View			**YoY Change - Bernstein (%)**			**vs. Consensus (%)**	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	17,755	17,223	18,004	-9%	-3%	5%	-1%	-3%
Kering	1,631	1,860	2,245	-36%	14%	21%	0%	-5%
Hermes International	6,569	6,607	7,032	7%	1%	6%	-1%	-1%
Essilorluxottica	4,459	5,042	5,457	1%	13%	8%	4%	4%
Cie Financiere Richemont	4,551	5,637	6,589	2%	24%	17%	2%	3%
Swatch Group	135	414	612	-56%	207%	48%	26%	10%
Moncler Spa	913	963	1,043	0%	5%	8%	3%	4%
Burberry Group Plc	160	229	312	515%	43%	36%	-7%	-4%
Brunello Cucinelli	228	266	312	8%	17%	17%	0%	3%
Ermenegildo Zegna*	163	197	257	-2%	21%	31%	2%	4%
	EBIT % - Bernstein View			**YoY Change - Bernstein (bps)**			**vs. Consensus (bps)**	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	22.0%	21.4%	21.7%	(114)	(57)	33	(20)	(23)
Kering	11.1%	12.8%	14.6%	(374)	167	179	1	(69)
Hermes International	41.1%	39.8%	39.5%	52	(126)	(29)	(18)	(34)
Essilorluxottica	15.7%	16.6%	16.8%	(100)	94	18	48	66
Cie Financiere Richemont	20.3%	22.1%	23.4%	(58)	177	137	69	92
Swatch Group	2.1%	6.3%	9.0%	(236)	418	270	66	61
Moncler Spa	29.2%	29.5%	29.9%	(31)	34	36	52	50
Burberry Group Plc	6.6%	9.0%	11.5%	556	237	251	(71)	(69)
Brunello Cucinelli	16.2%	17.3%	17.8%	(38)	115	51	10	24
Ermenegildo Zegna	8.5%	9.7%	11.5%	(7)	116	180	19	32
	EPS - Bernstein View			**YoY Change - Bernstein (%)**			**vs. Consensus (%)**	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	22.73	21.79	22.80	-13%	-4%	5%	-1%	-2%
Kering	4.35	6.60	9.44	-59%	52%	43%	6%	1%
Hermes International	43.12	43.32	46.35	-2%	0%	7%	-3%	-3%
Essilorluxottica	6.79	7.49	8.26	0%	10%	10%	3%	5%
Cie Financiere Richemont	5.96	7.73	9.04	-7%	30%	17%	4%	5%
Swatch Group	0.03	5.53	8.59	-99%		55%	32%	16%
Moncler Spa	2.31	2.41	2.60	-2%	4%	8%	4%	4%
Burberry Group Plc	0.24	0.35	0.54	n.m.	44%	52%	-6%	-2%
Brunello Cucinelli	1.99	2.29	2.74	13%	15%	20%	0%	3%
Ermenegildo Zegna	0.45	0.40	0.55	38%	-11%	38%	-2%	3%

Note that calendar years for CFR and BRBY correspond to the their closest financial year or quarter (i.e. CY2025 = FY2026; CY3Q25 = FY2Q26), unless stated otherwise. Zegna = adj. EBIT

Source: Company reports, Visible Alpha, Bernstein analysis and estimates

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EXHIBIT 4: **Global Luxury Goods - Relative P/E**



Source: Bloomberg, Bernstein analysis

EXHIBIT 5: **Global Luxury Goods - Valuations**

Current Global Luxury Goods Valuation CY 2026					
	P/E	Relative P/E	EV/Sales	EV/EBITDA	EV/EBIT
Brunello Cucinelli	37.2	2.4	4.4	14.9	26.0
Kering	34.0	2.2	2.5	9.8	20.2
Hermès	30.8	2.0	8.0	17.5	19.9
Zegna	29.3	1.9	1.9	8.6	20.3
Burberry	27.5	1.8	1.9	8.0	19.6
Richemont	25.4	1.7	4.3	15.2	19.6
EssilorLuxottica	24.1	1.6	3.1	13.1	19.5
Moncler	18.2	1.2	3.9	9.8	13.2
LVMH	17.6	1.2	2.7	9.2	12.6
Prada	15.0	1.0	2.4	7.2	12.6
Birkenstock	14.8	1.0	2.6	8.4	10.2
Salvatore Ferragamo	n.m.	n.m.	1.6	9.0	41.0
Swatch	n.m.	n.m.	1.2	10.8	25.0
LuxExperience	n.m.	n.m.	0.4	15.9	n.m.
Average	**24.9**	**1.6**	**2.9**	**11.2**	**20.0**

Source: Bloomberg (as of 21/10/26), Bernstein analysis

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EXHIBIT 6: **Global Luxury Valuation Premium/(Discount) vs. 10 year History**

Global Luxury Valuation Premium/(Discount) vs 10 year History						
	P/E	Relative P/E	EV/Sales	EV/EBITDA	EV/EBIT	Average
Zegna	47%	36%	10%	26%	n.m.	**30%**
Swatch	n.m.	n.m.	(22%)	17%	44%	**13%**
LuxExperience	n.m.	n.m.	(8%)	34%	n.m.	**13%**
Richemont	(1%)	(1%)	27%	12%	3%	**8%**
Burberry	25%	24%	(24%)	(24%)	20%	**4%**
Kering	n.m.	n.m.	(30%)	(19%)	25%	**(8%)**
Salvatore Ferragamo	n.m.	n.m.	(27%)	5%	n.m.	**(11%)**
Brunello Cucinelli	(31%)	(30%)	2%	(13%)	(17%)	**(18%)**
EssilorLuxottica	(23%)	(22%)	(15%)	(17%)	(18%)	**(19%)**
LVMH	(32%)	(32%)	(33%)	(34%)	(30%)	**(32%)**
Birkenstock	(34%)	(35%)	(35%)	(34%)	(34%)	**(34%)**
Moncler	(35%)	(35%)	(32%)	(35%)	(32%)	**(34%)**
Hermès	(35%)	(36%)	(31%)	(36%)	(37%)	**(35%)**
Prada	(46%)	(47%)	(29%)	(34%)	(39%)	**(39%)**
Average	**(16)%**	**(18)%**	**(17)%**	**(11)%**	**(10)%**	**(12%)**

Source: Bloomberg (as of 21/10/26), Bernstein analysis

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 7: **Hermès - Income Statement**

INCOME STATEMENT (EUR million)	1999A	2000A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Net Sales	927	1,159	6,883	6,389	8,982	11,602	13,427	15,170	16,002	16,604	17,802	19,252
Cost of Sales	(385)	(442)	(2,125)	(2,013)	(2,580)	(3,389)	(3,720)	(4,511)	(4,623)	(4,765)	(5,127)	(5,699)
Gross Margin	**542**	**717**	**4,759**	**4,376**	**6,402**	**8,213**	**9,708**	**10,660**	**11,379**	**11,838**	**12,675**	**13,554**
SG&A	(309)	(382)	(1,972)	(1,881)	(2,308)	(2,909)	(3,392)	(3,667)	(3,884)	(4,170)	(4,503)	(4,750)
EBITDA	**233**	**335**	**2,787**	**2,496**	**4,094**	**5,304**	**6,316**	**6,993**	**7,495**	**7,669**	**8,172**	**8,803**
Amortisation & Depreciation	(35)	(42)	(448)	(514)	(563)	(607)	(666)	(844)	(926)	(1,062)	(1,140)	(1,188)
Other Operating Income & Expense												
EBIT	**198**	**293**	**2,339**	**1,981**	**3,531**	**4,697**	**5,650**	**6,149**	**6,569**	**6,607**	**7,032**	**7,616**
Net Financial Result	3	7	(69)	(86)	(96)	(62)	190	283	207	212	263	312
Profit before Tax	**202**	**300**	**2,270**	**1,895**	**3,435**	**4,635**	**5,840**	**6,432**	**6,776**	**6,819**	**7,296**	**7,928**
Tax	(74)	(115)	(751)	(585)	(1,015)	(1,305)	(1,623)	(1,845)	(2,263)	(2,284)	(2,444)	(2,299)
Income (loss) from Associates	0	2	16	16	34	50	105	44	47	47	51	55
Net Profit	**128**	**187**	**1,535**	**1,327**	**2,454**	**3,380**	**4,322**	**4,631**	**4,560**	**4,582**	**4,902**	**5,684**
Net Minorities	(3)	(7)	(7)	(4)	(8)	(13)	(12)	(28)	(36)	(36)	(39)	(45)
Goodwill	(7)	(5)										
ADJUSTED Net Profit for the Group	**119**	**175**	**1,528**	**1,322**	**2,446**	**3,367**	**4,310**	**4,603**	**4,524**	**4,546**	**4,864**	**5,639**
Discontinued Operations & Exceptionals			0	63	0	0	0	0	0			
REPORTED Net Profit for the Group	**119**	**175**	**1,528**	**1,385**	**2,446**	**3,367**	**4,310**	**4,603**	**4,524**	**4,546**	**4,864**	**5,639**
Diluted Shares Outstanding (million)	111,557,703	111,595,521	105,055,331	104,888,511	104,964,401	104,936,295	104,842,483	104,925,000	104,925,000	104,925,000	104,925,000	104,925,000
ADJUSTED EPS, diluted (EUR)	**1.07**	**1.57**	**14.55**	**12.61**	**23.30**	**32.09**	**41.11**	**43.87**	**43.12**	**43.32**	**46.35**	**53.74**
REPORTED EPS, diluted (EUR)	**1.07**	**1.57**	**14.55**	**13.21**	**23.30**	**32.09**	**41.11**	**43.87**	**43.12**	**43.32**	**46.35**	**53.74**

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 8: **Hermès - Cash Flow Statement**

CASH FLOW STATEMENT (EUR million)	1999A	2000A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Net Profit for the Group	119	175	1,528	1,385	2,445	3,367	4,311	4,603	4,524	4,546	4,864	5,639
Amortisation & Depreciation	35	42	448	514	563	607	666	844	926	1,062	1,140	1,188
Other Adjustments	9	4	101	93	60	148	161	(54)	184	2,061	2,169	1,977
Gross Cash from Operations	**162**	**221**	**2,077**	**1,993**	**3,068**	**4,122**	**5,138**	**5,393**	**5,634**	**7,669**	**8,172**	**8,803**
Changes in net working capital	14	(7)	24	(350)	346	73	(794)	(239)	(233)	271	(144)	(214)
Interest, taxes and dividends from associates	0	0	0	0	0	0	0	0	0	(2,072)	(2,181)	(1,987)
Net Cash from Operations	**176**	**214**	**2,101**	**1,642**	**3,414**	**4,195**	**4,344**	**5,154**	**5,401**	**5,868**	**5,847**	**6,603**
Capex	(98)	(96)	(478)	(448)	(532)	(518)	(859)	(1,067)	(1,161)	(1,064)	(1,069)	(1,074)
Acquisitions	0	0	0	(72)	0	(1)	(288)	(229)	(60)	0	0	0
Divestitures	1	1	46	102	15	37	93	97	49	0	0	0
Financial Investments			(77)	(36)	(198)	(166)	(52)	(27)	(180)	0	0	0
Net Cash from Investments	**(97)**	**(95)**	**(509)**	**(454)**	**(715)**	**(648)**	**(1,106)**	**(1,226)**	**(1,352)**	**(1,064)**	**(1,069)**	**(1,074)**
Issue of debt & equity	0	0	0	8	0	0	0	0	8	0	0	0
Dividends paid	(27)	(35)	(487)	(490)	(490)	(852)	(1,386)	(2,705)	(2,796)	(1,818)	(1,945)	(2,256)
Debt rep & Share rep	0	0	(256)	(329)	(378)	(384)	(408)	(343)	(349)	0	0	0
Other financing activities	(0)	0	0	0	0	0	0	2	1	0	0	0
Net Cash from Financing Activities	**(28)**	**(35)**	**(743)**	**(810)**	**(868)**	**(1,236)**	**(1,794)**	**(3,046)**	**(3,136)**	**(1,818)**	**(1,945)**	**(2,256)**
Effect of FX rate changes	0	0	33	(55)	110	159	(138)	119	(364)	0	0	0
Net Cash from discontinued operations	(25)	11	0	0	0	0	0	0	0			
TOTAL Net Cash Flow	**26**	**95**	**882**	**324**	**1,941**	**2,470**	**1,306**	**1,001**	**549**	**2,986**	**2,833**	**3,273**

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 9: **Hermès - Balance Sheet**

BALANCE SHEET (EUR million)	1999A	2000A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Cash & Cash Equivalents	332	428	4,384	4,733	6,696	9,222	10,625	11,643	12,240	15,226	18,058	21,331
Short term borrowings	0	0	(21)	(25)	(1)	(2)	(1)	0	0	0	0	0
Inventory	214	257	1,133	1,289	1,449	1,779	2,414	2,797	2,575	2,481	2,669	2,966
Trade Receivables	101	129	318	250	333	383	431	478	418	546	585	633
Trade Payables	(110)	(141)	(480)	(448)	(535)	(777)	(880)	(832)	(792)	(1,097)	(1,180)	(1,311)
Other Current Assets	97	121	256	378	368	442	539	558	677	677	677	677
Other Curernt Liabilities	(149)	(185)	(1,523)	(1,366)	(2,040)	(2,225)	(2,303)	(2,797)	(2,393)	(2,393)	(2,393)	(2,393)
Net Working Capital	**486**	**608**	**4,067**	**4,811**	**6,270**	**8,822**	**10,825**	**11,847**	**12,725**	**15,439**	**18,417**	**21,903**
Net Fixed Assets	283	325	2,574	3,166	3,407	3,597	4,063	4,766	5,488	5,491	5,420	5,307
Intangibles	76	80	200	264	300	213	297	465	411	411	411	411
Other Non Current Assets	33	38	1,016	972	1,295	1,822	2,078	2,378	2,512	2,559	2,610	2,665
Total Net Assets	**878**	**1,052**	**7,858**	**9,212**	**11,272**	**14,454**	**17,263**	**19,456**	**21,137**	**23,901**	**26,857**	**30,286**
Long term debt	(175)	(178)	(30)	(18)	(24)	(35)	(50)	(61)	(34)	(34)	(34)	(34)
Other non Current Liabilities	(61)	(72)	(1,252)	(1,803)	(1,835)	(1,963)	(2,010)	(2,061)	(2,257)	(2,257)	(2,257)	(2,257)
Minorities	(24)	(30)	(8)	(11)	(12)	(16)	(2)	(7)	(6)	(42)	(81)	(126)
Equity	(619)	(772)	(6,568)	(7,380)	(9,401)	(12,440)	(15,201)	(17,327)	(18,840)	(21,567)	(24,486)	(27,869)
Total Net Liabilities	**(878)**	**(1,052)**	**(7,858)**	**(9,212)**	**(11,272)**	**(14,454)**	**(17,263)**	**(19,456)**	**(21,137)**	**(23,901)**	**(26,857)**	**(30,286)**

Source: Company reports, Bernstein analysis and estimates

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BERNSTEIN TICKER TABLE

			21 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)	
			Closing	Price	Rel.						
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
RMS.FP (Hermes)	O	EUR	1,356.50	**1,480.00**	(54.5)%	EUR	43.12	**43.32**	**46.35**	31.5	31.3	29.3
OLD				1,750.00				43.80	47.07			
EDME			1,597.37									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Hermes International

We value Hermès on a target 2.3x relative P/E multiple to the MSCI Europe, applied to a blended NTM+1 forward EPS forecast, arriving at a target price of EUR1,480.

RISKS

Hermes International

On the downside:

1. Innovation in the higher end (high jewellery, haute couture, higher priced handbags) fails to gain traction with VICs

2. Self-help strategies to reinvigorate aspirational demand, particularly in China, fail to materialize

3. Deteriorating underlying demand for Hermès’ existing classic handbags such as the Birkin and Kelly

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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on events and developments.

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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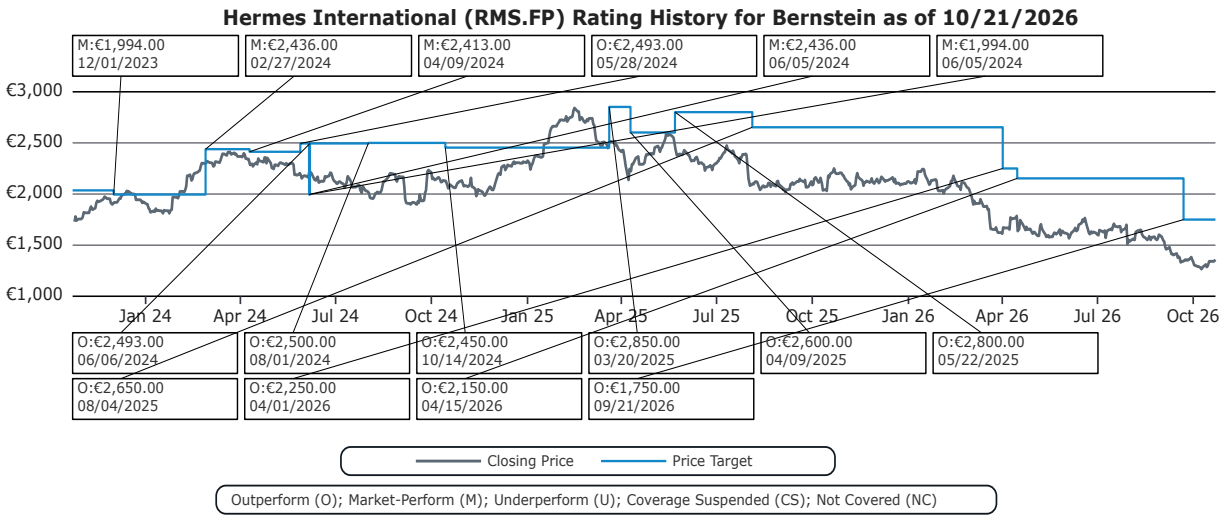
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Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



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